

No. 130. An act relating to testing of schools in Vermont for polychlorinated biphenyls.

(H.542)

It is hereby enacted by the General Assembly of the State of Vermont:

Sec. 1. 2021 Acts and Resolves No. 74, Sec. E.709.1, as amended by 2022 Acts and Resolves No. 166, Sec. 8, and 2023 Acts and Resolves No. 78, Sec. C.111, is further amended to read:

Sec. E.709.1 ENVIRONMENTAL CONTINGENCY FUND;
POLYCHLORINATED BIPHENYLS (PCBs) TESTING
IN SCHOOLS

(a) Notwithstanding 10 V.S.A. § 1283, of the funds transferred in Sec. D.101(a) of this act to the Environmental Contingency Fund, the Department of Environmental Conservation, in consultation with the Department of Health and the Agency of Education, shall use up to \$4,500,000 to complete air indoor quality testing for Polychlorinated Biphenyls (PCBs) in public schools and approved and recognized independent schools that were constructed or renovated before 1980. All schools subject to this subsection shall test for PCBs on or before ~~July 1, 2027~~ August 1, 2035.

Sec. 2. 10 V.S.A. § 6618a is added to read:

§ 6618a. SCHOOL POLYCHLORINATED BIPHENYL PROGRAM FUND

(a) There is created the School Polychlorinated Biphenyl Program Fund to be administered by the Secretary of Natural Resources to provide funding for

the investigation, mitigation, and remediation of polychlorinated biphenyls (PCBs) at schools in Vermont. The Fund shall consist of:

(1) Reimbursements from a school for work related to a grant issued by the State for PCB investigation, mitigation, and remediation when that school recovers money from litigation or other awards. The reimbursement shall be limited to the amount of the grant awarded to the school or the amount of the recovery, whichever is less.

(2) Any litigation recovery by the State for the costs of addressing PCB contamination in schools, less attorney's fees and costs.

(3) Monies from time to time transferred to the Fund by the General Assembly.

(4) Other gifts, donations, or other monies received from any source, public or private, dedicated for deposit into the Fund and approved by the Secretary of Administration.

(b)(1) The Secretary of Natural Resources shall administer a program to issue grants to school districts to pay the costs, to the extent funds are available, of the following activities in order of the priority listed:

(A)(i) PCB investigations that are a part of a facilities master plan; or

(ii) indoor air quality testing of a school initiated voluntarily by a school district, provided that the school district notified the Secretary of Natural Resources of the testing and the school district conducts the testing

according to the Department of Environmental Conservation's standards for testing;

(B) the development of PCB management plans;

(C) the costs of mitigation when results exceed the immediate action level;

(D) the costs of implementing any approved corrective action plan when, after mitigation efforts, the concentrations in the school exceed the immediate action level; and

(E) the costs of implementing a corrective action plan as a part of a school construction project.

(2) To the extent that funds are available, grants to school districts that are required to conduct investigation, mitigation, or remediation of PCB contamination in a school after Agency of Natural Resources testing shall be in an amount sufficient to pay for 100 percent of the costs at the school of investigation, remediation, or removal required by the Agency of Natural Resources Investigation and Remediation of Contaminated Properties Rule.

(c) Notwithstanding any contrary provisions of 32 V.S.A. chapter 7, subchapter 5, unexpended balances and interest earned by the Fund shall be retained in the Fund from year to year.

(d) If a school district in the State recovers money from litigation or other award for work covered under a grant issued under this section, the school district shall reimburse the State the amount of the recovery or the amount of

the grant awarded to the school district under subsection (b) of this section,
whichever amount is less.

(e) In addition to any other remedy, the State may recover from a
manufacturer of PCBs monies expended or awarded by the State for PCB
investigation, testing, assessment, remediation, or removal of PCBs in a school
above the relevant action level.

Sec. 3. 16 V.S.A. § 3445 is amended to read:

§ 3445. APPROVAL AND FUNDING OF SCHOOL CONSTRUCTION
PROJECTS

(a) Construction aid.

(1) Preliminary application for construction aid. A school district eligible for assistance under section 3447 of this title that intends to construct or purchase a new school, or make extensive additions or alterations to its existing school, and desires to avail itself of State school construction aid shall submit a written preliminary application to the Secretary. A preliminary application shall include information required by the Agency by rule and shall specify the need for and purpose of the project.

(2) Approval of preliminary application.

(A) When reviewing a preliminary application for approval, the Secretary shall consider:

(i) regional educational opportunities and needs, including school building capacities across school district boundaries, and available infrastructure in neighboring communities;

(ii) economic efficiencies;

(iii) the suitability of an existing school building to continue to meet educational needs; and

(iv) statewide educational initiatives.

(B) The Secretary may approve a preliminary application if:

(i)(I) the project or part of the project fulfills a need occasioned by:

(aa) conditions that threaten the health or safety of students or employees;

(bb) facilities that are inadequate to provide programs required by State or federal law or regulation;

(cc) excessive energy use resulting from the design of a building or reliance on fossil fuels or electric space heat; or

(dd) deterioration of an existing building; or

(II) the project results in consolidation of two or more school buildings and will serve the educational needs of students in a more cost-effective and educationally appropriate manner as compared to individual projects constructed separately;

(ii) the need addressed by the project cannot reasonably be met by another means;

(iii) the proposed type, kind, quality, size, and estimated cost of the project are suitable for the proposed curriculum and meet all legal standards;

(iv) the applicant achieves the level of “proficiency” in the school district quality standards regarding facilities management adopted by rule by the Agency; ~~and~~

(v) the applicant has completed a facilities master planning process that:

(I) engages robust community involvement;

(II) considers regional solutions;

(III) evaluates environmental contaminants; and

(IV) produces a facilities master plan that unites the applicant’s vision statement, educational needs, enrollment projections, renovation needs, and construction projects; and

(vi) if the applicant school district is applying for construction aid for a school building that was constructed or renovated before 1980, the applicant has completed indoor air quality testing for polychlorinated biphenyls that was conducted according to the Department of Environmental Conservation’s standards for testing.

(3) Priorities. Following approval of a preliminary application and provided that the district has voted funds or authorized a bond for the total estimated cost of a project, the Agency, with the advice of the State Aid for School Construction Advisory Board, shall assign points to the project as prescribed by rule of the Agency so that the project can be placed on a priority list based on the number of points received.

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Sec. 4. AGENCY OF NATURAL RESOURCES REPORT ON FUNDING
FOR PCB TESTING OF SCHOOLS

On or before January 15, 2027, the Agency of Natural Resources, in consultation with the Agency of Education, shall submit to the Senate Committee on Education and the House Committee on Education:

(1) an estimate of the additional cost to the State to complete testing, mitigation, and remediation for polychlorinated biphenyls at public schools and approved and recognized independent schools that were constructed or renovated before 1980; and

(2) a plan to fund the costs estimated necessary to complete testing, mitigation, and remediation.

Sec. 5. REPEAL

2023 Acts and Resolves No. 78, Sec. C.112(b)(1) and (2) (State funding of grants for investigation, remediation, and removal of PCB contamination at a school) is repealed.

Sec. 6. EFFECTIVE DATES

This act shall take effect on passage, except that Sec. 3 (approval and funding of school construction projects) shall take effect on July 2, 2026.

Date Governor signed bill: June 15, 2026